Comprehensive Guide to Individual Taxation (India) – AY 2025-26

1. Taxpayer Classification

Residential Status: Tax rates and exemptions depend on whether an individual is a **Resident**, **Resident but Not Ordinarily Resident (RNOR)**, or **Non-Resident (NRI)**. Only **residents** can claim most deductions (e.g. under Sections 80C-80U) and exemptions (Section 10), while NRIs have limited deductions. Tax treaties and Form 67 (for foreign tax credit) may apply for NRIs.

Age Categories: There are three age groups:
- **Normal (Individual)** – below 60 years.
- **Senior Citizen** – 60 to 80 years. (Basic exemption ₹3 lakh in old regime[1].)
- **Super Senior Citizen** – 80 years and above. (Basic exemption ₹5 lakh old regime[1].)

Higher exemption limits and special deductions (e.g. higher 80D limit, 80DDB) apply for senior citizens.

Gender: Tax slabs and rates are **gender-neutral** (no separate rates for male/female). The law recognizes *"third gender"* individuals as eligible taxpayers. There are no special tax slabs by gender; all *individuals* get the same exemption limits (e.g. 87A rebate applies equally to resident individuals[2]).

2. Heads of Income (Section 14)

Income is reported under five "heads" with separate rules for each: Salary; House Property; Business/Profession; Capital Gains; Other Sources[3]. Each head has its own computation and deductions.

- **2.1. Salary:** All wages, pensions, gratuities, bonuses, allowances and perquisites from employment are taxable under *"Income from Salary."* (Sections 15–17). Taxable components include basic pay, allowances (e.g. HRA, LTA, DA, leave encashment, commissions, etc.), employer PF contributions, and perquisites (rent-free accommodation, car, ESOP benefit, etc.). Exemptions: e.g. *House Rent Allowance* (HRA) is exempt to the extent of least of actual HRA, rent paid minus 10% of salary, or 50% (metro) / 40% (non-metro) of salary[4]. *Leave Travel Allowance (LTA)* is exempt as per rule (twice in block of 4 years), and certain transport allowances (increased to ₹7,200/yr recently). Standard deduction: under the **old regime**, salaried/pensioners get a flat ₹50,000 standard deduction[5] (new regime allows ₹75,000). Professional tax paid is deductible (80C). Tax is computed in Schedule S of the ITR[6][7].

- **2.2. Income from House Property:** Rental income (net of municipal taxes) from **own property** is taxable. If a property is *self-occupied*, no "rental income" is declared but a *notional loss* up to ₹2 lakh (old regime) on home loan interest is allowed[8]. If *let-out*, actual rent minus 30% standard deduction on "rentable value" and mortgage interest (no cap) is taxable[9][10]. Excess loss on let-out (over ₹2 lakh) can be carried forward for 8 years. Income details go in Schedule HP[11].

- **2.3. Profits & Gains of Business or Profession:** Income from any trade, business or profession (including freelancing, consulting, farming*, online business, etc.) is taxed here. Allowable expenses (rent, salaries, depreciation, supplies) are deducted from gross receipts. Special* presumptive taxation *schemes (sec 44AD, 44ADA, 44AE) allow lower compliance (ITR-4) for eligible small taxpayers. Schedule BP captures B&P income. Under new regime, only salary/business (no deductions beyond standard) are considered.* Example:* trading in F&O is treated as business income (or speculation if no expiry), whereas intraday equity is also business. Business income filers use ITR-3 or ITR-4[12][13].

- **2.4. Capital Gains:** Profit from sale/transfer of *capital assets* (stocks, mutual funds, property, gold, crypto, etc.) falls under Capital Gains. They are categorized as **Short-Term (STCG)** or **Long-Term (LTCG)** based on holding period (e.g. >12 m for listed equity, >24m for unlisted shares/land, >36m for other assets). Tax rates vary:

- **Equity & Equity MFs (with STT):** STCG at 15% (sec 111A) and LTCG at 10% (above ₹1L gain)[14] (for FY24-25 onward).
- **Immovable property, debt funds, gold:** STCG as per normal slabs (from 0–30%). LTCG at 20% with indexation or 12.5% without indexation[15].
- **Crypto/VDAs:** Treated as Capital Assets, but taxed at *flat 30%* on gains (no indexation)[16].
- **Exempt LTCG:** Capital gain on sale of a self-occupied house is exempt up to ₹2 crore under Sec 54. Other exemptions (Sec 54F, 54EC bonds) apply with conditions.
  Details go in Schedule CG (and 112A for equity)[17].

- **2.5. Income from Other Sources:** Miscellaneous income not covered above, including interest (bank, FD), dividends, lottery/gambling winnings (taxed at flat 30% with no rebate), royalty, family pension, gift (above thresholds) etc[18]. Interest on savings up to ₹10,000 is deductible (80TTA) for non-seniors, up to ₹50,000 (80TTB) for seniors[19][20]. Dividends (from FY21-22) and mutual fund dividend are taxable in hands of taxpayer (no Sec 10(34) exemption now). Report in Schedule OS of the ITR[21].

- **Agricultural Income:** Fully exempt under Sec 10(1) (if >₹5,000). It is not included in total income, but if combined with taxable income, it can increase the slab for rebate calculations.

3. Exemptions (Section 10)

Section 10 lists non-taxable incomes:
- **Allowance Exemptions:** HRA (sec 10(13A)), Leave Travel Allowance (sec 10(5)), Children's education allowance (10(14)(ii)), conveyance/Transport allowance for disabled (10(14)), uniform allowance, etc[4].
- **Salary Related Exemptions:** Employer contribution to provident fund (sec 10(11)), government pension (10(2)), allowances for disabilities, etc.

- **Retirement Benefits:** Gratuity (10(10)), leave encashment (10(10AA)), commuted pension (10(10A)), retrenchment compensation (10(10B)), VRS (10(10C)), and **life insurance policy maturity proceeds** (10(10D)) are partly/fully exempt (subject to conditions such as premium <10% of sum assured[4]).
- **Other Exempt Income:** Agricultural income (10(1)), spouse's share of profit (10(2A)), **dividends (Sec 10(34)) and long-term capital gains on equity (10(38))** until FY 2021-22 (10(38) was withdrawn w.e.f AY 2023-24), interest on specified bonds (10(15)), etc[22].

4. Deductions (Chapter VI-A)

Deductions under Sections **80C–80U** reduce *taxable income*. Major sections (with FY 2024-25/25-26 limits):

- **80C, 80CCC, 80CCD(1):** Combined limit ₹1.5 lakh. Eligible: Life insurance premium, Employee/Voluntary Provident Fund (PF/VPF), Public Provident Fund (PPF), Equity-Linked Savings Schemes (ELSS), National Savings Certificates (NSC), Sukanya Samriddhi Yojana, principal on home loan, tuition fees (for children), Senior Citizen Savings Scheme, contributions to infrastructure bonds, etc[23]. (Donations, pension funds handled separately.) Document proofs: receipts, passbooks.

- **80CCD(1B):** Additional ₹50,000 for NPS contributions (tier-I), over and above 80C[24].

- **80CCD(2):** Employer's contribution to NPS (Pension Scheme of Central Govt.) upto 14% of salary (for Central Govt. employees) or 10% (others)[25]. No monetary limit beyond salary% (this is an *over and above* the ₹1.5L).

- **80D – Health Insurance:** Deduction for health/medical insurance premiums for self/spouse/kids and parents. Limits[26][27]:

- Self + family (non-senior): ₹25,000 (plus ₹5,000 preventive checkup).
- If either spouse or child is senior: ₹50,000 (incl. ₹5k checkup).
- Parents (non-senior): ₹25,000; if parents are senior: ₹50,000. Separate limits for parents.
- **Medical treatment (senior)**: If no insurance, ₹50,000 (self/spouse/children) and ₹50,000 (parents).
  (Must have insurer certificates).

- **80DD – Maintenance of Disabled Dependent:** Flat deduction ₹75,000 for disability; ₹125,000 if severe disability (≥80% disability)[28]. (Requires medical certificate/Form 10-IA).

- **80DDB – Medical Treatment:** Medical expenses for specified diseases (self/relatives) – ₹40,000 limit (₹1,00,000 if senior)[29]. (Form 10-DB and prescriptions needed).

- **80E – Education Loan Interest:** Entire interest on loan for higher education for self/spouse/children (no limit)[30]. (Proof of loan and interest certificate).
- **80EE/80EEA – Home Loan Interest (First-Time):**
- *80EE:* Interest on loan sanction between Apr'16–Mar'17 for first house: up to ₹50,000[31].
- *80EEA:* Interest on loan for first house (sanctioned Apr'19–Mar'22) up to ₹1.5 lakh[32]. Only one of 80EE/80EEA can be claimed, and only if no deduction under Sec 24(b) is used.
- **80EEB – EV Loan Interest:** Interest on loans for electric vehicles (sanctioned Apr'19–Mar'23), up to ₹1.5 lakh[33]. (Introduced recently; 1st year FY19-20 onwards).
- **80G – Donations:** Contributions to approved charitable institutions. Deductions vary by institution: **100%** (no limit) or **50%** (no limit) of amount, or with specified cap (often 10% of gross income) depending on fund[34][35]. (Donation proof and 80G certificate needed; cash >₹2,000 not allowed[36].)
- **80GGA – Scientific/ Rural Dev.:** Donations for scientific research or rural development (100%/50% deduction)[37]. (No cash >₹2k; available only if no business income).
- **80GGC – Political Donations:** 100% of contributions to political parties/electoral trusts (no cash)[38].
- **80TTA – Interest on Savings:** Deduction up to ₹10,000 for interest on savings bank accounts (not applicable to senior citizens)[19].
- **80TTB – Interest for Seniors:** Deduction up to ₹50,000 for senior citizens on interest from bank deposits, post office, bonds (savings + fixed + recurring)[39].
- **80U – Disabled Taxpayer:** Flat ₹75,000 deduction for disability (₹1,25,000 if severe)[40]. (Medical certificate/Form 10-IA required).
- **80GG – Rent Paid:** For those without HRA (self-employed or non-HRA salaried), least of (rent-10% income), ₹5,000×12, or 25% of income (excluding CG/other exempt)[41]. (Requires Form 10BA acknowledgement[42].)
- **Other Sections:** 80E (already covered), 80EEB (above), 80CCH (Agniveer Corpus) allowed full contributions for eligible Agniveers. Section 80QQB, 80RRB for royalties & patents (for authors/inventors). Section 80RR (royalty on patents of music/books). 80TTA/TTB covered. 80QQB/80RRB/89 etc exist but less common.

All deductions need supporting documents (receipts, certificates) for audit/trustee records. (ITR schedules VI-A, 80G, etc capture deduction details[43][44].)

5. Tax Rates & Regimes

India has **two tax regimes** (old vs new) for individuals/HUFs:

- **New Tax Regime (Section 115BAC):** Introduced 2020, made default from AY24-25[45]. Lower slabs, but most exemptions/deductions disallowed (except: NPS 80CCD(2), Employer PF, standard deduction ₹75,000[5], and 87A rebate). Slabs for FY24-25 (AY25-26)[46]: 0–4L@0%, 4–8L@5%, 8–12L@10%, 12–16L@15%, 16–20L@20%, 20–24L@25%, >24L@30%. Income ≤12L gets full rebate under Sec 87A (60k)[47]. Taxpayers (esp. with no large deductions) often choose this.

- **Old Tax Regime:** Higher rates but allows Chapter VI-A deductions and many exemptions. Slabs (FY24-25)[48]: 0–2.5L@0%, 2.5–5L@5%, 5–10L@20%, >10L@30%. Senior citizens (60–80) have 0% up to 3L; super seniors (80+) up to 5L[1]. Standard deduction ₹50,000 (salary), and tax rebate ₹12,500 (effectively zero tax up to ₹5L)[49].

Section 87A (Rebate): Available to resident individuals with taxable income up to ₹12 lakh (new regime) or ₹5 lakh (old)[47][2], reducing tax to zero (max ₹60k or ₹12.5k respectively). Not applicable on income taxed at special rates (like LTCG under 112A).

Surcharge & Cess: High-income surcharge on gross tax (10–37%) applies above ₹50 lakh, with Health & Edu cess 4% on tax+surc[50].

6. Tax-saving Investments & Income Sources

Popular instruments for **tax planning** include:

- **Government Schemes:** Public Provident Fund (PPF, 15-yr, Sec80C), National Pension System (NPS; sec 80CCD), Sukanya Samriddhi Yojana (80C), Kisan Vikas Patra (no deduction, but tax-free after maturity), National Savings Certificate (NSC, 80C), Senior Citizen Savings Scheme (SCSS, 80C), Post Office Time Deposits (80C for 5-yr). These offer guaranteed returns, EEE (for PPF/SSY/SCSS) or other tax benefits.

- **Bank and Debt:** Bank FDs (interest taxed; exception 80TTA/TTB), tax-saving FDs (5-yr, 80C), Government bonds (some tax-free), corporate bonds, debt mutual funds (taxed as debt CG: STCG as per slab, LTCG@20% with indexation).

- **Equity & Funds:** Direct **stocks**, Equity MFs, ETFs (subject to STCG 15%/LTCG 10% for >1L gain). ELSS mutual funds (80C). Equity-linked instruments (e.g. mutual funds, direct shares) are high-return but riskier. Debt funds, balanced funds as above.

- **Insurance:** Term insurance (no tax benefit for premium, but death benefit tax-free under Sec10(10D)), Endowment/ULIPs (premium qualifies for 80C but might be lower returns), health insurance (80D), pension plans. Mandatory life insurance is advised for tax efficiency (80C).

- **Retirement Funds:** Employee Provident Fund (EPF – mandatory deduction from salary; vol. VPF qualifies 80C), NPS (80CCD(1B) extra 50k; employer's share 80CCD(2)), Unit Linked Pension Plans, National Pension Scheme.
- **Real Estate:** Investment in residential property offers Section 24 interest deduction (2L limit self-occupied[8]) and wealth generation via rent or appreciation. Rental income taxed under HP (with 30% standard deduction on 'rentable value')[9]. Property sale LTCG can be saved by reinvestment (80C via 54EC, 54F).
- **Gold & Commodities:** Gold (jewellery, coins, ETFs) and Sovereign Gold Bonds (SGBs) – SGB interest tax-free, indexation benefit on sale. Other commodities (silver, agricultural land) taxed as capital asset (40% AGI for land).
- **Alternatives:** Crypto and NFTs (VDAs) – taxed as capital assets at flat 30%[16]. Virtual Digital Asset transactions have 1% TDS (Sec 194S) on sale. There are no set-offs for VDA losses (except against VDA gains)[51].

Investments made (80C, 80D, 80E, etc.) must be declared in ITR. Securities like mutual funds also have 10% LTCG on equity beyond ₹1L (Sec 112A) and 20% on debt with indexation.

7. ITR Forms, Schedules & Reporting

Taxpayers must choose the correct ITR form and report income/deductions in schedules:

- **ITR-1 (Sahaj):** For resident individuals (non-NRI, not RNOR) with **only** Salary/Pension, **one** house property, other sources (interest, etc.), agri income ≤₹5k, and LTCG on listed shares/units ≤₹1.25L[52]. No business income, capital gains (STCG or LTCG beyond 1.25L), foreign assets/income allowed.
- **ITR-2:** For individuals/HUFs with income under any head *except* business/profession (e.g. multiple house properties, capital gains beyond ITR-1 limits) or capital gains beyond 112A.
- **ITR-3:** For individuals/HUFs having business or professional income (including those on presumptive schemes if not eligible for ITR-4)[13].
- **ITR-4 (Sugam):** For individuals/HUFs/firms (non-LLP) with business income on presumptive basis (sec 44AD/ADA/AE) and income from salary/1 house/other sources[53].
- **ITR-7:** For political parties, charitable trusts, etc (not individual use).

In each ITR, specific **Schedules** are filled: Schedule S (Salary), HP (House Property), BP (Business/Profession) or OS (Other Sources), CG (Capital Gains), CYLA/BFLA/CFL (loss set-offs), Exempt Income (EI: e.g. agricultural, 10(34) dividends), and VI-A (deductions). For example, *Schedule CG* for capital gains[17], *Schedule OS* for interest/dividend[21], *Schedule 80G/80GGA* for donations[54], and *Schedule AL* for

assets if income >₹50L (now ₹1Cr)[55]. VRAs (Schedule VDA) are used to report virtual asset gains[56]. *Schedule SI* shows incomes taxed at special rates (lottery, etc), *Schedule EI* shows exempt incomes (interest, dividend, agri)[57]. Schedules SPI/PTI handle clubbing and pass-through incomes, and FSI/TR/FA cover foreign income/assets[58][59].

8. Documentation for Filing

ITR is filed without attaching proofs, but one must **collect/maintain documents**:
- **Proof of Income:** Form 16 (salary certificate by employer)[60], Form 16A (TDS on non-salary income)[61], Form 26AS/AIS (tax credit statement)[62], Form 12BB (investment declarations to employer)[63]. Bank statements and passbooks for interest; capital gains statements (broker/PAN consolidation); rent agreements/receipts for HRA; rental income ledgers; foreign income proofs & Form 67 if applicable[64][65].

- **Proof of Deductions:** Investment receipts for 80C (PPF statements, LIC premium, ELSS statements)[66][67]; insurance premium receipts (80D); tuition fee receipts; rent receipts for 80GG; health insurance receipts (80D); medical bills or disability certificates (80DDB, 80DD); loan sanction letter and interest certificate (80E, 24(b)); donations receipts with 80G certificates[26][67]. For home loans, banks issue interest and principal certificates for 24(b) and 80C.

- **Other Forms:** Declarations like Form 15G/H (for no TDS on interest)[68]; Form 10-IA (disability) if claiming 80DD or 80U; Form 10CCB for joint home loan, etc. PAN and Aadhaar (linkage) are mandatory.

- **Preservation:** No documents are sent in return, but keep all certificates till at least the end of the assessment year (plus relevant years in case of future scrutiny)[69].

9. Special Cases & Notes

- **NRI Issues:** Foreign income (salaries abroad, rent from NR property, foreign dividends) is taxable if resident, exempt if NRI (subject to DTAA). NRI pay tax on India-sourced income only. Capital gains on property/shares in India taxed as above. NRI must obtain **certificate of residency** for relief, and file ITR if tax liability exists.

- **Virtual Digital Assets (Crypto/NFTs):** Categorized as assets (Sec 2(47A)). Gains on sale are taxed at **30% flat plus 4% cess**[16]. Only cost of acquisition is deductible; indexation or other expenses not allowed. 1% TDS (Sec 194S) on sale consideration above ₹50,000 (₹10,000 in some cases)[70]. Losses from VDAs can only be set off against other VDA gains[51].

- **Gambling & Lottery:** Winnings taxed at flat 30% (Sec 115BB). No deductions allowed on such income.

- **Agricultural Income:** Fully exempt (Section 10(1)). However, agri income is considered for rate purposes to apply the best slab (i.e., add income and calculate tax on combined amount minus tax on agri alone).

- **ESOPs/Stock Options:** Tax on employee stock option benefits can be deferred but eventually taxed as salary (perquisite) or as capital gain when shares sold (depending on type of ESOP). Complex rules apply.
- **Setoff and Carry Forward of Losses:** Losses in a head (e.g. house property, business, capital) can be set off against certain incomes and unabsorbed losses carried forward (for max 8 yrs) under conditions. E.g. house property loss can offset other heads up to ₹2 lakh (old regime)[10]. Capital losses set off only against capital gains.
- **Clubbed Income:** Spouse/minor child income (Section 64) may be added to taxpayer's income. Schedule SPI records income clubbed.
- **Reportable Assets:** ITR schedules ask details of specified assets (above thresholds), even though individual tax doesn't depend on them. Post AY24-25, reporting threshold rose to ₹1 crore total income (was ₹50L).
- **Miscellaneous:** Section 115BAC mandates option selection for old/new each year (only once switchable if business income). Ensure PAN is active & linked with Aadhaar. Tax audit/transfer pricing applies to business with high turnover.

10. Data Fields for AI Tax Software

Your software should capture:
- **Personal:** PAN, Aadhaar, DOB/age, gender (male/female/other), residential status, contact info.
- **Income Details:** Salary components (basic, HRA, allowances, perquisites), business revenue/expenses, rental income and property details, capital gains (type, buy/sell dates & amounts), interest/dividends/other sources (amounts, deductors).
- **Investments:** 80C investments (type & amount), medical insurance, tuition fees, home loan interest/principal (80C/24(b)), NPS/EPF contributions, donations (80G), etc.
- **Documents:** Form16 data, 26AS/AIS data, property loan statements, investment proof uploads, tax payment records.

This ensures automated filling of schedules (S, HP, BP, CG, OS, VI-A, 80G, etc.).

11. References & Updates

This guide is based on the latest Income Tax Act provisions (as of FY 2024-25), CBDT notifications (ITR forms for AY 2025-26), and authoritative analyses[23][47][1]. Always refer to the official Income-tax Act, rules, and CBDT circulars for detailed rules. Tax laws change annually (e.g. new regimes, updated slabs), so verify for the relevant assessment year.

---

[1] [5] [46] [48] [49] Income Tax Slabs and Rates - Old and New Tax Regime FY 2025-26 (AY 2026-27)

https://cleartax.in/s/income-tax-slabs

[2] [47] Income Tax Rebate Under Section 87A

https://cleartax.in/s/income-tax-rebate-us-87a

[3] [6] [12] [14] [15] [18] What are the 5 Heads of Income Tax?

https://cleartax.in/s/5-heads-of-income-tax

[4] [22] Section 10 - Tax Exemptions, Allowances and How to Claim?

https://cleartax.in/s/section-10-of-income-tax-act

[7] [11] [17] [21] [43] [54] [55] [56] [57] [58] [59] File ITR-2 Online User Manual | Income Tax Department

http://www.incometax.gov.in/iec/foportal/help/how-to-file-itr2-form

[8] [9] [10] [13] [19] [20] [23] [24] [25] [26] [27] [28] [29] [30] [31] [32] [33] [34] [35] [36] [37] [38] [39] [40] [41] [42] [52] [53] [60] [61] [62] [63] [66] [68] Salaried Individuals for AY 2025-26 | Income Tax Department

http://www.incometax.gov.in/iec/foportal/help/individual/return-applicable-1

[16] [51] [70] Taxation On Cryptocurrency: Guide To Crypto Taxes In India 2025

https://cleartax.in/s/cryptocurrency-taxation-guide

[44] [64] [65] [67] [69] Documents Required for ITR Filing in 2025

https://cleartax.in/s/documents-required-for-income-tax-return-filing

[45] [50] Referencer | Income Tax | Income Tax Rates | AY 2025-26 | FY 2024-25 | Normal tax rates applicable to a resident individual

https://www.referencer.in/Income_Tax/Income_Tax_Rates_AY_2025-26.aspx

Comprehensive Indian Income Tax Handbook for Individuals (FY 2025-26 / AY 2026-27)

Executive Summary

This handbook provides complete information on all taxes that individuals need to file in India as of March 2026. It covers the new Income Tax Act 2025 (effective April 2026), both old and new tax regimes, all types of income, comprehensive deductions, special benefits for different age groups and demographics, and step-by-step filing guidance.

The Indian tax system does not differentiate based on gender or caste for income tax purposes. However, age-based benefits exist, and reservation policies in education/employment are separate from tax policy.

Understanding Tax Regimes in India

Two Tax Regimes Available

India offers taxpayers a choice between two tax regimes for FY 2025-26:

New Tax Regime (Default)

- Lower tax rates with simplified slabs
- Limited deductions allowed
- Standard deduction of ₹75,000 for salaried/pension income
- Zero tax up to ₹12 lakh income (with rebate)
- Effective zero tax up to ₹12.75 lakh for salaried individuals

Old Tax Regime (Optional)

- Higher tax rates
- Allows extensive deductions under Chapter VIA (80C, 80D, etc.)
- House Rent Allowance (HRA), Leave Travel Allowance (LTA) exemptions
- Higher basic exemption for senior citizens

How to Choose: Taxpayers without business income can switch between regimes annually. Those with large investments, home loans, or health insurance premiums often benefit from the old regime.

Tax Slabs and Rates

New Tax Regime (FY 2025-26 / AY 2026-27)

Income tax slabs apply equally to all individuals regardless of age, gender, or caste under the new regime:

Income Range	Tax Rate
Up to ₹4,00,000	Nil
₹4,00,001 to ₹8,00,000	5%
₹8,00,001 to ₹12,00,000	10%

₹12,00,001 to ₹16,00,000	15%
₹16,00,001 to ₹20,00,000	20%
₹20,00,001 to ₹24,00,000	25%
Above ₹24,00,000	30%

Section 87A Rebate: Resident individuals with total income up to ₹12 lakh pay zero tax due to a rebate of up to ₹60,000. With the ₹75,000 standard deduction, salaried individuals earning up to ₹12.75 lakh effectively pay no tax.

Surcharge:

- 10% on income between ₹50 lakh to ₹1 crore
- 15% on income between ₹1 crore to ₹2 crore
- 25% on income above ₹2 crore (reduced from 37%)
- Maximum surcharge of 25% for all income

Health & Education Cess: 4% on income tax plus surcharge

Old Tax Regime (FY 2025-26 / AY 2026-27)

For Individuals Below 60 Years

Income Range	**Tax Rate**
Up to ₹2,50,000	Nil
₹2,50,001 to ₹5,00,000	5%
₹5,00,001 to ₹10,00,000	20%

Above ₹10,00,000	30%

Section 87A Rebate: Up to ₹12,500 if total income does not exceed ₹5 lakh (only for residents)

For Senior Citizens (60-79 Years)

Income Range	Tax Rate
Up to ₹3,00,000	Nil
₹3,00,001 to ₹5,00,000	5%
₹5,00,001 to ₹10,00,000	20%
Above ₹10,00,000	30%

Key Benefit: ₹50,000 higher basic exemption compared to individuals below 60 years

For Super Senior Citizens (80 Years and Above)

Income Range	Tax Rate
Up to ₹5,00,000	Nil
₹5,00,001 to ₹10,00,000	20%
Above ₹10,00,000	30%

Key Benefit: ₹2,50,000 higher basic exemption compared to individuals below 60 years

Surcharge and Cess: Same as new regime

All Types of Income

The Income Tax Act classifies income under five heads:

1. Income from Salary

Components Included:

- Basic salary
- Dearness Allowance (DA)
- House Rent Allowance (HRA)
- Special allowances
- Leave Travel Allowance (LTA)
- Bonuses and commissions
- Perquisites (company car, rent-free accommodation, etc.)
- Pension income
- Retirement benefits (gratuity, leave encashment, PF)

Standard Deduction:

- Old Regime: ₹50,000 for salaried individuals
- New Regime: ₹75,000 for salaried/pension income (increased from ₹50,000)
- Family Pensioners: ₹25,000 (new regime)

HRA Exemption (Old Regime Only):

The exemption is the minimum of:

- Actual HRA received
- 50% of salary (basic + DA) for metro cities, or 40% for non-metro cities
- Rent paid minus 10% of salary

Example: Basic salary ₹12,00,000, HRA received ₹6,00,000, rent paid ₹40,000/month

- Actual HRA: ₹6,00,000
- 50% of salary: ₹6,00,000
- Rent minus 10%: ₹4,80,000 - ₹1,20,000 = ₹3,60,000
- Exempt HRA: ₹3,60,000; Taxable: ₹2,40,000

LTA Exemption: Tax-free for actual travel expenses (not accommodation) twice in a block of 4 years

Other Exempt Allowances:

- Conveyance allowance: Up to ₹1,600/month
- Children education allowance: Up to ₹100/child/month (maximum 2 children)

Perquisites:
Rent-free accommodation, company car, employer-provided facilities are taxable based on prescribed valuation rules.

2. Income from House Property

Taxable Components:

- Annual rental value (actual or deemed)
- Minus: Municipal taxes paid
- Minus: Standard deduction of 30% on net annual value
- Minus: Interest on home loan (Section 24)

Home Loan Tax Benefits:

Section	Deduction Type	Maximum Limit	Regime
80C	Principal repayment	₹1,50,000	Old only
24(b)	Interest on self-occupied property	₹2,00,000	Old & New (for let-out)
24(b)	Construction not completed in 5 years	₹30,000	Old only
80EE	Additional interest (first-time buyers)	₹50,000	Old only
80EEA	Affordable housing interest	₹1,50,000	Old only

Conditions for Section 80C Deduction:

- Property cannot be sold within 5 years of possession
- Construction must be completed within 5 years from end of FY when loan was disbursed
- Stamp duty and registration charges also qualify (claimed only once)

For Let-Out Property: Full interest is deductible with no upper limit

3. Income from Business or Profession

Regular Method:

- Gross receipts minus business expenses
- Requires maintenance of books of accounts
- May require audit if turnover exceeds specified limits

Presumptive Taxation Schemes (Simplified for Small Businesses):

Section 44AD - Business Income

Eligibility:

- Resident individuals, HUFs, partnerships (excluding LLPs)
- Turnover up to ₹2 crore (general)
- Turnover up to ₹3 crore if 95% receipts are digital

Presumed Income:

- 8% of turnover (if cash receipts exceed 5%)
- 6% of turnover (if 95%+ receipts are digital)

Benefits:

- No need to maintain detailed books of accounts
- No audit required
- Simplified tax calculation

Lock-in: Must continue for 5 consecutive years; opting out disqualifies from scheme for next 5 years

Section 44ADA - Professional Income

Eligibility:

- Professionals (doctors, lawyers, CAs, architects, etc.)
- Gross receipts up to ₹50 lakh

Presumed Income: 50% of gross receipts

4. Capital Gains

Capital gains arise from sale of capital assets like property, stocks, mutual funds, gold, etc.

Short-Term Capital Gains (STCG)

Holding Periods:

- Listed equity shares & equity mutual funds: Held for ≤12 months
- Other assets (property, gold, debt funds): Held for ≤24 months

Tax Rates:

Asset Type	Tax Rate
Listed equity shares & equity MFs (with STT)	20% flat
Unlisted shares, property, gold, debt funds	As per income tax slab

Calculation: Sale price minus (Purchase price + Improvement cost + Transfer expenses)

Long-Term Capital Gains (LTCG)

Holding Periods:

- Listed equity shares & equity mutual funds: Held for >12 months
- Other assets (property, gold, debt funds): Held for >24 months

Tax Rates:

Asset Type	Tax Rate	Exemption	Indexation
Listed equity shares & equity MFs	12.5%	₹1.25 lakh/year	No
Unlisted shares	12.5%	Nil	No
Property (land/building)	12.5%	Nil	No*
Gold, debt funds	12.5%	Nil	No

*Note: Indexation benefit removed for most assets under Budget 2024

LTCG Exemptions:

Section	Asset Sold	Asset Purchased	Maximum Exemption

54	Residential property	Residential property	₹10 crore
54EC	Immovable property	Specified bonds (within 6 months)	₹50 lakh
54F	Any asset (except residential)	Residential property	Proportionate basis
112A	Listed equity, equity MFs	Not applicable	₹1.25 lakh/year

Cryptocurrency & Virtual Digital Assets (VDA)

Section 115BBH governs VDA taxation:

- Tax Rate: Flat 30% plus 4% cess (effective 31.2%)
- No Deductions: Except cost of acquisition
- No Set-Off: Losses cannot be set off against other income or carried forward
- No Indexation: Benefit not available
- TDS: 1% TDS under Section 194S on transaction value
- Applies To: All VDAs including cryptocurrencies, NFTs, digital tokens
- Holding Period: Irrelevant - same 30% rate whether short-term or long-term

5. Income from Other Sources

Includes:

- Interest income (savings bank, fixed deposits, bonds)
- Dividend income
- Winnings from lottery, gambling, betting, game shows
- Gifts exceeding ₹50,000 (from non-relatives)
- Royalty income
- Any other income not covered under other heads

Interest Income

TDS on Interest:

Source	Threshold	TDS Rate
Bank/post office (non-senior)	₹40,000	10%
Bank/post office (senior citizen)	₹1,00,000	10%
Company deposits	₹5,000	10%

Note: Threshold for senior citizens increased from ₹50,000 to ₹1,00,000 in Budget 2025

Section 80TTB Deduction (Old Regime Only):
Senior citizens can claim deduction of up to ₹50,000 on interest from savings accounts, fixed deposits, and post office deposits

Dividend Income

- Taxable at slab rates (Dividend Distribution Tax abolished)
- TDS: 10% if dividend exceeds ₹10,000 in a year (reduced from ₹5,000)
- Section 194: Applicable on dividend payments

Lottery, Betting, and Game Show Winnings

Section 194B:

- Tax Rate: Flat 30% plus 4% cess (effective 31.2%)
- TDS: 30% deducted at source
- Threshold: Applies to winnings exceeding ₹10,000
- Covers: Lotteries, crossword puzzles, TV game shows (KBC), online gaming (Dream11, MPL), poker, rummy, horse races, reality shows, raffles, lucky draws, gambling, betting
- No Deductions: Section 80C, 80D, or any other deductions not allowed
- No Slab Benefit: Basic exemption limit and slab rates don't apply
- Non-Cash Prizes: Winner must pay 30% tax before taking possession (e.g., car worth ₹5 lakh requires ₹1.5 lakh tax payment)

Gift Taxation

Section 56(2)(x):

Taxable: Gifts exceeding ₹50,000 (cash or property) from non-relatives are taxable as "Income from Other Sources"

Tax-Exempt Gifts:

- Gifts from relatives (any amount)
- Gifts on occasion of marriage
- Gifts received through will or inheritance
- Gifts from local authorities

Who Qualifies as "Relative":

For individuals:

1. Spouse
2. Brother or sister
3. Brother or sister of spouse
4. Brother or sister of either parent (uncle/aunt)
5. Any lineal ascendant or descendant (parents, grandparents, children, grandchildren)
6. Any lineal ascendant or descendant of spouse (in-laws)
7. Spouse of persons in (2) to (6)

Note: Cousins, nieces, nephews are NOT considered relatives

Royalty Income

Taxation:

- Taxed under "Profits and Gains of Business/Profession" or "Income from Other Sources"
- Included in gross total income and taxed as per slab rates

Section 80QQB Deduction (Old Regime Only):

Eligibility:

- Resident or RNOR individual who is an author
- Royalty from literary, artistic, or scientific works (excluding textbooks used for specific professions/businesses)
- Books approved by National Book Trust or government body

Deduction: Lower of ₹3,00,000 or actual royalty received

For Non-Residents: 20% withholding tax (increased from 10%), subject to DTAA benefits

Inheritance and Wealth Transfer

No Inheritance Tax in India

Current Status (as of 2025):

- India has NO inheritance tax or estate duty

- Estate Duty Act was abolished in 1985
- Assets inherited through will or succession are completely tax-free at the time of transfer
- No limit on value - whether ₹1 lakh or ₹100 crore

Applies To:

- Property (immovable and movable)
- Gold and jewelry
- Stocks and mutual funds
- Fixed deposits
- Bank accounts
- Life insurance proceeds

Tax on Sale of Inherited Assets

Capital Gains Tax Applies When Sold:

Key Principles:

1. Cost of Acquisition: Original cost paid by the deceased person
2. Holding Period: Counted from when the deceased person first bought the asset
3. Tax Rates: Same LTCG/STCG rates as discussed earlier

Example:

- Father bought property in 2010 for ₹40 lakh
- You inherited it in 2023 (no tax at inheritance)
- You sold it in 2026 for ₹1.2 crore
- Holding period = 16 years (counted from 2010) = Long-term
- LTCG tax: 12.5% on (₹1.2 cr - ₹40 lakh) = ₹10 lakh tax (without indexation)

Property Tax Rules:

- Held for ≤24 months: STCG at slab rates
- Held for >24 months: LTCG at 12.5% (without indexation)
- LTCG up to ₹1.25 lakh exempt

Income from Inherited Assets

Taxable as Regular Income:

- Rental income from inherited property: Taxable as "House Property Income"
- Interest from inherited FDs: Taxable as "Income from Other Sources"
- Dividends from inherited shares: Taxable at slab rates

All Deductions Under Chapter VI-A

The following deductions are available only under the Old Tax Regime unless specifically noted.

Section 80C, 80CCC, 80CCD(1): Maximum ₹1,50,000

Combined limit of ₹1,50,000 for investments/expenses under these sections:

Section 80C Investments & Expenses:

Investments:

- Life insurance premium (self, spouse, children)
- Public Provident Fund (PPF)
- Employee Provident Fund (EPF) / Voluntary Provident Fund (VPF)
- Sukanya Samriddhi Yojana (girl child savings)
- National Savings Certificate (NSC)
- Senior Citizens Savings Scheme (SCSS)
- Equity Linked Savings Scheme (ELSS) mutual funds
- 5-year tax-saving fixed deposits
- Unit Linked Insurance Plans (ULIPs)

Expenses:

- Home loan principal repayment
- Stamp duty and registration charges (one-time, year of payment)
- Tuition fees (maximum 2 children, any educational institution in India)

Key Points:

- Maximum combined deduction: ₹1,50,000
- Not available in new tax regime
- Premium cannot exceed 10% of sum assured for policies issued after 2012

Section 80CCC: Pension Fund Contribution

- Contribution to pension funds/annuity plans
- Maximum: ₹1,50,000 (within 80C limit)

Section 80CCD(1): National Pension Scheme (NPS)

Employee:

- 10% of (Basic + DA)
- Within ₹1,50,000 limit of 80C

Self-Employed:

- 20% of gross total income
- Within ₹1,50,000 limit of 80C

Section 80CCD(1B): Additional NPS Deduction

Deduction: Up to ₹50,000

- Over and above ₹1,50,000 limit of 80C

- Only for self-contributions to NPS Tier I account
- Available in old regime only

Section 80CCD(2): Employer's NPS Contribution

Deduction: Up to 14% of salary (Basic + DA)

- Separate from ₹1,50,000 and ₹50,000 limits
- Available in both old and new regimes
- Increased from 10% to 14% for all employees

Example:

- Priya invests ₹1,20,000 in PPF/ELSS (80C)
- ₹50,000 in NPS (80CCD(1B))
- Employer contributes ₹70,000 to NPS (80CCD(2))
- Total deduction: ₹2,40,000

Section 80D: Health Insurance Premium

Deduction Limits (FY 2025-26):

Category	Maximum Deduction
Self + Spouse + Dependent Children (<60 years)	₹25,000
Self + Spouse + Dependent Children (≥60 years - any insured member)	₹50,000
Parents (<60 years)	₹25,000 (additional)
Parents (≥60 years)	₹50,000 (additional)
Maximum (if both taxpayer and parents are senior citizens)	₹1,00,000

Preventive Health Check-Up:

- Up to ₹5,000 (within above limits)

- Can be paid in cash

Medical Expenses for Senior Citizens (No insurance):

- If senior citizen parent has no health insurance, actual medical expenses up to ₹50,000 deductible
- Payment must be by non-cash mode

Note: Available only in old tax regime

Section 80DD: Dependent with Disability

Eligibility:

- Resident individual or HUF
- Incurred expenses for maintenance/medical treatment/rehabilitation of dependent with disability
- OR paid premium for insurance/deposit for maintenance of disabled dependent

Deduction Amount:

- ₹75,000 for disability ≥40% but <80%
- ₹1,25,000 for severe disability ≥80%

Dependents Covered:

- Spouse, children, parents, siblings (for individual)
- Any member (for HUF)

Proof Required:

- Medical certificate from recognized authority
- Proof of expenses or insurance policy

Note: Cannot be claimed if dependent claims Section 80U for himself/herself

Section 80DDB: Medical Treatment of Specified Diseases

Eligibility:

- Expenses incurred on treatment of specified diseases
- For self or dependent (spouse, children, parents, siblings)

Deduction Amount:

- Below 60 years: Up to ₹40,000
- Senior citizens (60-79 years): Up to ₹1,00,000
- Super senior citizens (80+ years): Up to ₹1,00,000

Specified Diseases (Rule 11DD):

- Neurological diseases (dementia, Parkinson's, motor neuron disease, ataxia, chorea)
- Malignant cancers
- Full-blown AIDS
- Chronic renal failure

- Hemophilia
- Thalassemia

Requirement:

- Medical certificate from specialist doctor (Form 10-I)
- If expenses reimbursed by employer/insurance, deduct reimbursed amount from claim

Note: Available only in old tax regime

Section 80E: Education Loan Interest

Deduction:

- Full interest paid on education loan (no upper limit)
- Loan taken for higher education (post-Class 12)
- For self, spouse, children, or student for whom taxpayer is legal guardian
- From financial institution or approved charitable institution

Period:

- Maximum 8 years from year of first repayment, OR
- Until interest is fully paid, whichever is earlier

Key Points:

- Only interest deductible (principal not covered)
- No deduction after 8 years even if interest remains
- Available only in old tax regime

Example:

- Raj took ₹5 lakh education loan at 10% p.a.
- Interest in FY 2024-25: ₹50,000
- Full ₹50,000 deductible under Section 80E

Section 80EE & 80EEA: Additional Home Loan Interest

Section 80EE:

- Deduction: Up to ₹50,000 (additional)
- First-time home buyer
- Loan sanctioned between April 1, 2016 to March 31, 2017
- Property value ≤₹50 lakh
- Loan amount ≤₹35 lakh
- Available only in old regime

Section 80EEA:

- Deduction: Up to ₹1,50,000 (additional, over and above Section 24(b) limit of ₹2,00,000)

- Affordable housing
- Loan sanctioned between April 1, 2019 to March 31, 2022
- Stamp duty value ≤₹45 lakh
- First-time homebuyer
- Cannot claim if availing 80EE benefit
- Available only in old regime

Section 80G: Donations to Charitable Institutions

Eligibility:

- All taxpayers (individuals, HUFs, companies, firms, NRIs)
- Donations to eligible charitable institutions, funds, NGOs, temples, churches, mosques

Deduction Categories:

100% Deduction (No Limit):

- National Defence Fund
- Prime Minister's National Relief Fund
- Prime Minister's Citizen Assistance & Relief in Emergency Situations Fund
- National Foundation for Communal Harmony
- National Children's Fund
- National/State Blood Transfusion Council
- Swachh Bharat Kosh
- Clean Ganga Fund
- Contributions to government/local authorities for COVID-19 relief

50% Deduction (Subject to 10% of Adjusted Gross Total Income):

- Donations to government/local authorities for charitable purposes
- Approved funds/institutions registered under Section 80G
- Contributions for repair/renovation of notified places of worship

Mode of Payment:

- Donations must be by cheque, demand draft, or online transfer
- Cash donations >₹2,000 not eligible

Note: Available only in old tax regime

Section 80GGA: Donations for Scientific Research / Rural Development

Deduction:

- 100% of donation amount
- To approved scientific research institutions
- To rural development programs
- Not subject to 10% limit

Note: Available only in old tax regime

Section 80U: Self with Disability

Eligibility:

- Resident individual with certified disability
- Disability ≥40%

Deduction Amount:

- ₹75,000 for disability ≥40% but <80%
- ₹1,25,000 for severe disability ≥80%

Proof Required:

- Certificate from recognized medical authority
- Form 10-IA

Note: If individual claims 80U, no one else can claim 80DD for that person

Special Benefits Based on Demographics

Age-Based Benefits

Senior Citizens (60-79 Years):

Tax Benefits:

1. Higher basic exemption: ₹3,00,000 (old regime)
2. Section 80TTB: ₹50,000 deduction on interest income
3. Higher TDS threshold: ₹1,00,000 on interest (vs ₹40,000 for non-seniors)
4. Section 80D: Health insurance deduction up to ₹50,000 (vs ₹25,000)
5. Section 80DDB: Medical treatment deduction up to ₹1,00,000 (vs ₹40,000)
6. No advance tax liability (if no business income)

Super Senior Citizens (80+ Years):

Additional Benefits:

1. Highest basic exemption: ₹5,00,000 (old regime)
2. All senior citizen benefits above
3. Specified senior citizen (75+ years): May be exempt from ITR filing if only pension + interest from same bank (Section 194P)

Zero Tax for Pensioners

Under new regime:

- Pension/salary up to ₹12,75,000: Zero tax (with ₹75,000 standard deduction + Section 87A rebate)

Gender-Based Provisions

No Special Benefits for Women:

- Income tax rates are same for men and women
- Prior to FY 2012-13, women had higher basic exemption limit - this was removed
- All deductions under Chapter VI-A apply equally to men and women

Government Schemes Benefiting Women Taxpayers:

- Sukanya Samriddhi Yojana (for girl child - 80C deduction)

Caste/Community-Based Provisions

No Special Tax Benefits:

- Income tax does not differentiate based on caste (SC/ST/OBC/General)
- Same tax rates and deductions for all
- Reservation policies in education/employment are separate from taxation

Reservation System (For Context):

- SC: 15% reservation
- ST: 7.5% reservation
- OBC: 27% reservation (non-creamy layer)
- EWS: 10% reservation
- Persons with disabilities: 4% reservation

Note: These reservations apply to government jobs and educational institutions, NOT to income tax

NRI (Non-Resident Indian) Taxation

Residential Status Determination:

Resident: If in India for:

- ≥182 days in the financial year, OR
- ≥365 days in past 4 years + ≥60/120 days in current year

Non-Resident: Does not meet above criteria

Tax Implications:

Status	India Income	Foreign Income

Resident	Taxable	Taxable
NRI	Taxable	Not taxable
RNOR (Resident but Not Ordinarily Resident)	Taxable	Partially taxable

DTAA (Double Taxation Avoidance Agreement):

- Prevents double taxation on same income
- NRIs can claim Foreign Tax Credit (FTC) by filing Form 67
- Tax Residency Certificate (TRC) required for claiming DTAA benefits
- Special reduced TDS rates available under DTAA for many countries

NRI-Specific Rules:

- No Section 87A rebate (available only to residents)
- Can inherit property without restriction
- NRO/NRE/FCNR accounts have different tax treatments

Tax Deduction at Source (TDS)

Common TDS Rates

Section	Payment Type	Threshold	TDS Rate
192	Salary	-	As per slab
193	Interest on securities (bonds, debentures)	-	10%
194	Dividend	₹10,000	10%

194A	Interest (bank, FD) - Non-senior	₹40,000	10%
194A	Interest (bank, FD) - Senior citizen	₹1,00,000	10%
194B	Lottery, betting, game show winnings	₹10,000	30%
194BB	Horse race winnings	₹10,000	30%
194C	Payment to contractor (individual/HUF)	₹30,000 (single) / ₹1,00,000 (aggregate)	1%
194C	Payment to contractor (others)	₹30,000 (single) / ₹1,00,000 (aggregate)	2%
194D	Insurance commission	₹15,000	5%
194G	Commission on lottery tickets	₹15,000	5%
194H	Commission or brokerage	₹15,000	5%
194I	Rent - Plant & Machinery	₹2,40,000	2%
194I	Rent - Land/Building/Furniture	₹6,00,000	10%

194IA	Sale of immovable property	₹50,00,000	1%
194IB	Rent by individual/HUF (not liable to audit)	₹6,00,000	5%
194S	Payment for VDA/cryptocurrency	₹10,000 (₹50,000 for specified persons)	1%

Note: If PAN not furnished, TDS rate is higher of 20% or double the specified rate

Recent Changes (Budget 2025):

- TDS threshold for rent increased from ₹2.4 lakh to ₹6 lakh
- TDS threshold for senior citizen interest increased from ₹50,000 to ₹1,00,000

Advance Tax

Who Must Pay

Mandatory if:

- Estimated tax liability exceeds ₹10,000 for the financial year (after TDS)

Exemptions:

- Senior citizens (≥60 years) with no business/professional income
- Taxpayers under presumptive taxation (pay in single instalment by March 15)

Due Dates and Installments

Due Date	Amount Payable
On or before June 15	15% of estimated tax liability
On or before September 15	45% minus tax already paid

On or before December 15	75% minus tax already paid
On or before March 15	100% minus tax already paid

Special Rule for Capital Gains:
Capital gains (like from sale of shares) can be paid in the next quarter after the gain is realized

Interest for Non-Payment:

- Section 234B: 1% per month for non-payment/underpayment of advance tax
- Section 234C: Additional interest for delay in quarterly installments

Income Tax Return (ITR) Filing

Types of ITR Forms

ITR-1 (Sahaj)

Who Can File:

- Resident individuals
- Total income up to ₹50 lakh
- Income from: Salary/Pension, One house property, Interest, Agricultural income up to ₹5,000

Who Cannot File:

- Total income >₹50 lakh
- Agricultural income >₹5,000
- Capital gains
- Business or professional income
- More than one house property
- Directors of companies
- Unlisted equity shares
- Non-residents

ITR-2

Who Can File:

- Individuals and HUFs
- Income >₹50 lakh
- Capital gains
- Multiple house properties

- Foreign income/assets
- Directors of companies
- Unlisted equity shares

Who Cannot File:

- Those with business/professional income

ITR-3

Who Can File:

- Individuals and HUFs
- Income from business or profession
- Partners in firms
- Can also have income from salary, house property, capital gains

ITR-4 (Sugam)

Who Can File:

- Individuals, HUFs, Firms (excluding LLPs)
- Total income up to ₹50 lakh
- Presumptive income under Sections 44AD, 44ADA, 44AE
- Income from salary/pension, one house property
- Long-term capital gains up to ₹1.25 lakh (Section 112A)

ITR-5, ITR-6, ITR-7

- ITR-5: Partnerships, LLPs, AOPs, BOIs
- ITR-6: Companies (not claiming exemption under Section 11)
- ITR-7: Trusts, political parties, institutions, colleges

ITR Filing Due Dates (FY 2025-26 / AY 2026-27)

Taxpayer Category	Due Date
Individuals, HUFs (non-audit cases)	July 31, 2026
Original due date extended to	September 15, 2026 (if announced)
Businesses requiring audit	October 31, 2026

Transfer pricing report	November 30, 2026
Belated/Revised returns	December 31, 2026

Late Filing Penalties

Section 234F - Late Filing Fee

Filing Timeline	Income ≤₹5 Lakh	Income >₹5 Lakh
Filed before due date	No penalty	No penalty
After due date but before December 31	₹1,000	₹5,000
After December 31	₹1,000	₹10,000

Section 234A - Interest on Late Filing

- 1% per month or part of month on unpaid tax
- Calculated from the due date until actual filing date

Other Consequences of Late Filing:

- Cannot carry forward losses (except house property loss)
- Refund processing may be delayed
- Higher chance of scrutiny by tax department

Note: If total income is below taxable limit, no penalty under Section 234F

Step-by-Step Tax Filing Process

Step 1: Determine Residential Status

- Count days spent in India during the financial year
- Check if resident, non-resident, or RNOR

Step 2: Choose Tax Regime

- Calculate tax under both old and new regimes
- Consider deductions available under old regime
- Opt for regime with lower tax liability

Step 3: Gather Documents

- Form 16 (from employer for salary income)
- Form 16A (for TDS on other income)
- Bank statements (for interest income)
- Capital gains statements (from brokers)
- Investment proofs (for 80C, 80D, etc.)
- Home loan interest certificate
- Rent receipts (for HRA)
- Donation receipts (for 80G)
- Premium payment receipts

Step 4: Compute Income Under Each Head

1. Salary income (minus standard deduction)
2. House property income (rental/deemed rental minus deductions)
3. Business/professional income
4. Capital gains (STCG and LTCG separately)
5. Other sources (interest, dividend, etc.)

Step 5: Calculate Gross Total Income

- Add income from all five heads

Step 6: Claim Deductions (If Old Regime)

- Section 80C to 80U deductions
- Reduce from gross total income

Step 7: Compute Net Taxable Income

- Gross total income minus deductions

Step 8: Calculate Tax Liability

- Apply tax slabs
- Add surcharge (if applicable)
- Add 4% Health & Education Cess

Step 9: Check for Rebate

- Section 87A rebate (if eligible)

Step 10: Adjust TDS/Advance Tax

- Deduct TDS already paid
- Deduct advance tax paid
- Calculate balance tax payable or refund due

Step 11: Choose Correct ITR Form

- Based on income sources and amount

Step 12: File ITR Online

- Login to income tax e-filing portal (
- www.incometax.gov.in
-)
- Fill ITR form with all details
- Upload Form 16, other documents if required
- Verify return using:
    - Aadhaar OTP
    - EVC (Electronic Verification Code)
    - Digital Signature Certificate (DSC)
    - Send ITR-V to CPC Bangalore within 30 days (if not verified electronically)

Step 13: Track Refund (If Applicable)

- Check refund status on e-filing portal
- Refund credited to bank account after processing

Important Reminders

Income Not Taxable in India

1. Agricultural income: Fully exempt under Section 10(1)
    - Income from cultivation of crops
    - Rent from agricultural land
    - Income from sale of agricultural produce
    - Condition: Land must be in India
    - Note: Partial integration if non-agricultural income also exists
2. Inheritance: No tax on receiving inherited assets (property, gold, shares, FDs, etc.)
3. Gifts from relatives: Any amount tax-free
4. Life insurance proceeds: Tax-free for nominee
5. HRA: To the extent exempted under prescribed rules (old regime)
6. LTA: Actual travel expenses (not accommodation)

Common Mistakes to Avoid

1. Not reporting all income: Include income from all sources, even if TDS not deducted
2. Wrong ITR form: Choose correct form based on income type and amount
3. Not claiming all deductions: Review all eligible deductions under Chapter VIA
4. Missing deadline: File before due date to carry forward losses
5. Incorrect bank account: Verify bank account linked to PAN for refund
6. Not verifying return: Complete verification within 30 days
7. Clubbing provisions: Income of minor child, spouse (in certain cases) to be clubbed
8. Capital gains calculation: Use correct holding period and tax rate

Tax-Saving Tips

1. Start early: Make tax-saving investments at beginning of financial year to reduce monthly TDS
2. Maximize 80C: ₹1,50,000 limit across multiple options
3. Additional ₹50,000: Through NPS under 80CCD(1B)
4. Health insurance: ₹25,000 to ₹1,00,000 under 80D
5. Home loan: ₹2,00,000 interest + ₹1,50,000 principal
6. Education loan: No limit on interest deduction
7. Donations: 50% to 100% under 80G
8. Compare regimes: Calculate tax under both old and new regimes annually
9. Senior citizens: Utilize higher thresholds and special deductions
10. Claim refunds: File return even if income below taxable limit to claim TDS refund

New Income Tax Act 2025

Effective Date: April 1, 2026

Key Changes:

- New draft income tax rules introduced
- Enhanced deduction limits in old regime (subject to final notification)
- New forms in accordance with Income Tax Act 2025
- Digital payment mandates: Business/profession with turnover >₹50 crore must provide electronic payment facilities (Rule 133)
- Interest deduction against dividend income no longer allowed

Status: Final rules to be notified; taxpayers should stay updated through official income tax portal

Conclusion

This handbook covers all major aspects of individual taxation in India as of March 2026. Key takeaways:

1. Two tax regimes: Choose the one that minimizes your tax liability
2. Age matters: Senior citizens get substantial tax benefits

3. Gender/caste don't affect tax: Same rates and deductions for all
4. Plan investments: ₹1,50,000 under 80C + ₹50,000 NPS + home loan benefits + health insurance
5. File on time: Avoid penalties and loss of benefits
6. Keep documents: Maintain all proof of income, investments, and expenses
7. Stay informed: Tax laws change annually through Union Budget

Always consult a qualified Chartered Accountant for personalized tax advice and complex situations.

Disclaimer

This handbook is for educational and informational purposes only and should not be construed as professional tax or legal advice. Tax laws are subject to change, and individual circumstances vary. Readers should consult qualified tax professionals for advice specific to their situation. While every effort has been made to ensure accuracy as of March 2026, the author assumes no liability for actions taken based on this information.